



“We at Kotak Mahindra Bank estimate average inflation at 5%, with some easing of concerns from falling crude oil prices and steady Indian rupee”

Upasna Bhardwaj
Chief Economist, Kotak Mahindra Bank



“For lower- to middle-income households, groceries, fruits and vegetables take up between 35% and 60% of the monthly budget and for them, the price rise tends to have a significant impact”

Suresh Sadagopan
Founder, Ladder7 Financial Advisories

Consumer Sector at Motilal Oswal Financial Services echoes this sentiment. “While a lot of companies have hiked prices, consumer demand has remained healthy across sectors. Even in jewellery, top players continue to do well, and the customs duty hike has got adjusted with the correction in international prices of gold,” he says.

Kashyap Javeri, Fund Manager & Head of Research, Emkay Investment Managers concurs and says that despite the turbulence in West Asia, the aggregate demand seems unimpacted.

POCKETS OF WORRY

This situation could very well be dampened by a spell of bad

monsoon. After what was the fifth driest June since 1901 with a 40% rainfall deficit, India is expected to see below average rains in July with super El Niño conditions likely to intensify further. The rainfall deficit is now seen at 18%.

Bhardwaj warns that the risk from deficient monsoons will need to be watched. “While the adverse impact El Nino in the past is not very conclusive, any sustained surge in food inflation could flair inflationary expectations. Overall, rural demand may take a hit if food shocks materialise,” she says.

Pockets of worry can already be seen. “Even before the start of the monsoon season, rural demand appears to be coming off its

peak, as seen for both tractor as well as two-wheeler sales growth,” said a recent report by QuantEco Research.

A likely interest rate hike by the RBI later this year of anywhere between 25 and 50 basis points will further temper urban consumption. Even prior to this, housing sales declined by 6% in April-June 2026 across seven major cities, Anarock data revealed.

But the coming months will reveal exactly how households have fared amidst these challenges and whether they are choosing to cut to down on expenses.

Trivedi of Motilal Oswal also says that one will have to see what happens to demand in the second quarter of the fiscal.

Javeri of Emkay notes that a prolonged inflationary scenario can be troubling but doesn’t seem to be a case as of now. “We have seen now for past many years that floods or fluctuation in temperatures have more negative impact on the foodgrain output than below normal rainfall. And hence, we would not be too much worried about inflation in food product. Having said that, one month of below par rainfall means reservoirs may show lower than LPA storage for rabi season,” he says.

But in a year when the economy is already battling the aftereffects of the West Asia war and normalcy is seen to come back only over the next six months, expectations were pegged on Indian consumers to power up the growth engine for another year. With the uncertain monsoon outlook, the question now is whether their pockets are deep enough to support this. **BT**

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